

Farmhouse Acquisition Opportunity

592 Avenue of the Flags, Buellton, CA

Strategic Hospitality Conversion Play | GREA Underwriting 2026

PRESENTED BY: LUKA, JAI, AND NOAH

DEAL SNAPSHOT WITH ASKING PRICE

Asking Price	\$1,950,000
Unit Count	8 Large Studio Units
Lot Size	9,583 SF (CR/Hotel Specific Plan)
Going-In Cap Rate	~4.06%

We will discuss how the current NOI is sub-market and explore the value in an STR conversion and capital expansion operations.



MARKET PERFORMANCE GAP FOR LONG-TERM RENTALS

Scenario	EGI	Annual Expenses	NOI	Cap Rate	Implied Value
Current	\$134,052	\$55,572	\$79,080	~4.1%	\$1,464,444
Market	\$164,640	\$56,934	\$107,706	5.4%	\$1,994,555

Differing Cap Rates: Current NOI of ~\$79K produces only a ~4.1% going-in cap rate, different from the market cap rate of roughly 5.4%.

Will find out if STR can push value higher
• **Adjacent 590 Property (\$2,685,000)? Purchase that as well?**

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Unit Count	8 Large Studio Units
Lot Size	9,583 SF (CR/Hotel Specific Plan)
Going-In Cap Rate	~4.06%

POLICY CATALYST: ORDINANCE 26-03

March 26, 2026: Ordinance to require the FarmHouse to return to short term motel use passes

Forced reversion: Ordinance 26-03 says hotel/motel uses that had converted to stays over 30 days must stop long-term rentals and revert to hotel use within 180 days of the ordinance's effective date (City of Buellton, Ordinance 26-03)

Conversion Violations: "Over time, some of those motels have converted, in violation of our municipal codes, to long-term rental, essentially becoming apartment buildings instead of motels" (Buellton City Manager Scott Wolfe).

Following the law: "I feel like this is the city doing its due diligence into compliance, into code, to follow the rule of law, with as much compassion as possible," Mayor David Silva – Santa Barbara Independent

Affordable Housing: City Manager "partnered with an affordable housing developer to provide replacement units"



CITY OF BUELLTON

CITY COUNCIL AGENDA

Regular Meeting of March 26, 2026 – 6:00 p.m.
City Council Chambers, 140 West Highway 246
Buellton, California

10. **Ordinance No. 26-03 – “An Ordinance of the City Council of the City of Buellton, California, Amending Chapter 3.28.060 of the Buellton Municipal Code Pertaining to Registration Requirements of Hotel Operators Subject to Transient Occupancy Tax, and Adding Chapter 19.06.290 of the Buellton Municipal Code Pertaining to the Operation of Hotels for Short Term Rental Use Only (25-ZOA-01)” (Second Reading)**

❖ *(Staff Contact: City Manager Scott Wolfe)*

LOCAL MARKET CONTEXT

Right off the 101, Buellton is the **primary access** point for Santa Ynez Valley tourism.

Proximity to Solvang, Chumash Casino, and world-class wineries ensures high weekend occupancy.

Nearby Vandenberg Space Force Base, rocket launch viewing as a tourist attraction



Santa Ynez Travel Website Highlights, right

- WINE COUNTRY
- GUIDED TOURS
- OUTDOOR RECREATION
- RV & CAMPING
- NIGHTLIFE ENTERTAINMENT
- PLACES TO SHOP
- MUSEUMS & ART
- SPA & WELLNESS

Olive Oil Tasting In Santa Ynez



DEMAND DRIVERS

Economic Benefit

Visitors spend more money and create broader local economic benefit when they stay overnight (KEYT News interview with Visit Santa Ynez Valley leadership, June 2025).

Occupancy Data

Santa Ynez Valley hotel occupancy averaged about 68% in 2024 (KEYT, “New Tourism Data Shows Traveling Trends for Santa Ynez Valley Visitors”) (Similar to the range of the one-pager).

Market Demand

52 Airbnb/Vrbo short-term rental properties in Buellton (AirDNA Buellton Airbnb & Vrbo Market Data).



Airbnb

<https://www.airbnb.com>



Airbnb Official Site

Visitor Market

The average Santa Ynez Valley visitor is reported as 45–65 years old with an average income of \$100,000+, supporting a target market of parents, retirees, and family-oriented travelers (Travel and Tour World, “New Tourism Data Reveals Key Insights for Santa Ynez Valley Visitor Trends and Marketing Strategy”).



PRELIMINARY LEGAL CONSIDERATIONS

Two-Year Extensions

Qualified long-term tenants may receive extensions of up to two years before displacement/reversion is fully completed (Santa Barbara Independent).

Replacement affordable housing

The ordinance findings say Buellton identified Red Rose Court and Polo Village as part of the replacement housing framework for SRO residents.

Transient Occupancy Tax

Buellton increased its transient occupancy tax to 14% after voters approved Measure D2024, which allowed the city to raise the TOT rate from 12% to 14% (City of Buellton, Ordinance No. 25-01).

Further challenges?

City minutes say HCD accepted the ordinance changes with no further comments, but an opposing attorney Mark Carlson argued that HCD acceptance did not provide assurances with relocation assistance (City of Buellton).



BUSINESS PLAN AND CAPITAL EXPENDITURES

Phase 1

Month 0

Acquisition & Due
Diligence on tenant
timelines.

Phase 3

Years 1-2

complete
renovations as
tenants relocate.

Phase 5

Year 5

Stabilized Exit at a
premium lodging
multiple.

Phase 2

Year 1

Maintain
apartment income
while beginning
conversion

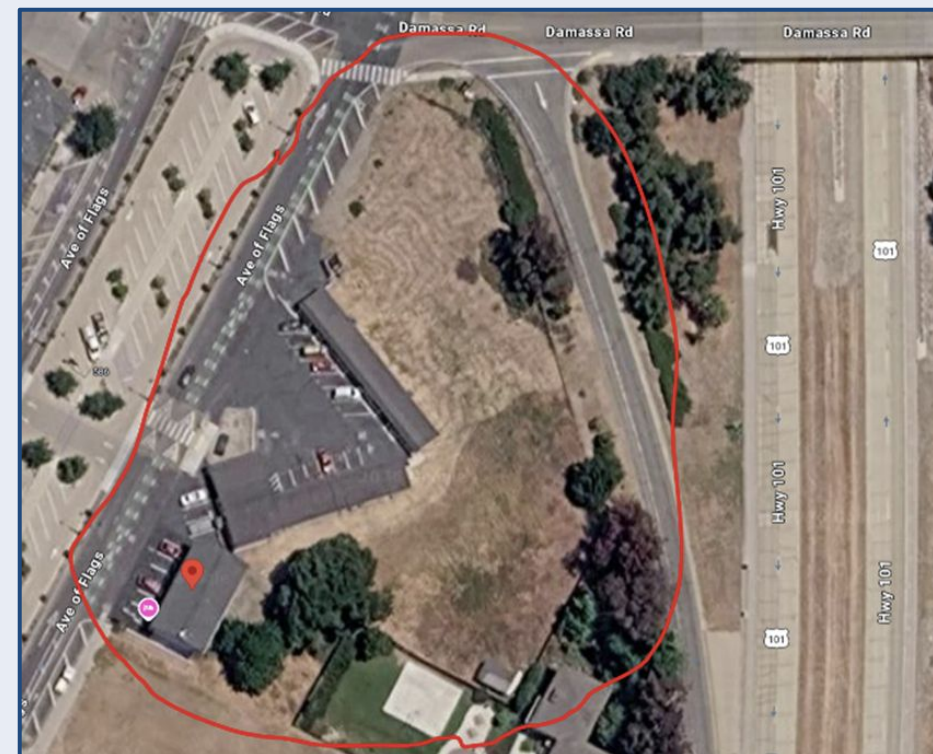
Phase 4

Year 3

Finish STR
conversions and
phase away from
LTR completely

590 ACQUISITION AND EXPANSION

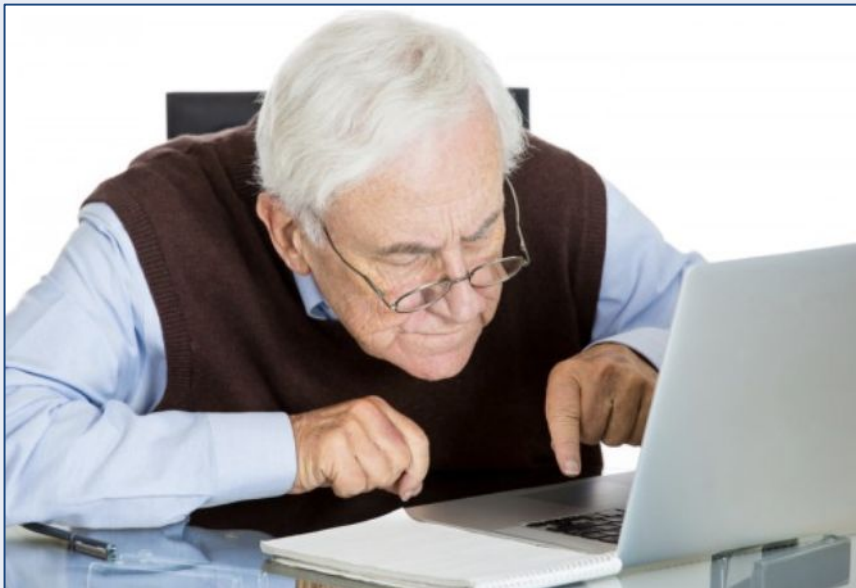
We will also buy the adjacent property, 590 avenue of the flags and explain how that is profitable in our pro forma. Provides 14 extra units and much more space, elaborated upon in Pro Forma.



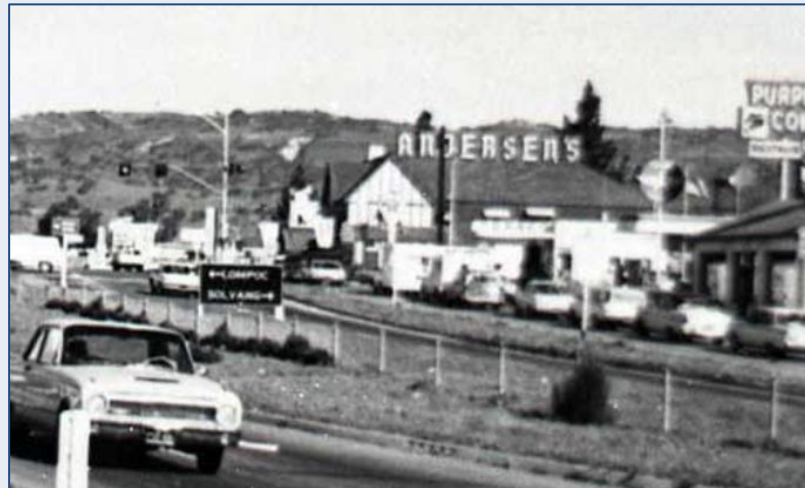
CAPITAL EXPENDITURES

Baseline STR-Ready Unit Conversion: \$21,875 per unit
(includes smart locks, interior refresh, and guest setup)

**Direct-Booking Website
Setup:** \$8,000



**Buellton Nostalgia Photo-Op
Roadside Feature:** \$10,000



**Local Goods Setup and
Display:** \$2,500



3 EV Chargers: \$30,000

DETAILED CAPITAL EXPENDITURES TAB ON PRO FORMA

Include?	Line Item	Type	Basis	Units / Qty	Cost / Unit or Lump Sum	Total Cost	Timing Year
Yes	Baseline STR-ready unit conversion	Baseline STR-Ready CapEx	Per Unit	22	\$21,875	\$481,250	1
Yes	Code-compliant roadside signage	Property-Level Add-On CapEx	Lump Sum	1	\$15,000	\$15,000	1
Yes	Outdoor guest courtyard / seating	Property-Level Add-On CapEx	Lump Sum	1	\$30,000	\$30,000	1
Yes	Water-saving landscaping / utility upgrades	Property-Level Add-On CapEx	Lump Sum	1	\$17,500	\$17,500	1
Yes	Buelltton roadside nostalgia/photo-op feature	Property-Level Add-On CapEx	Lump Sum	1	\$10,000	\$10,000	1
Yes	Direct booking website setup	Startup / Marketing	Lump Sum	1	\$8,000	\$8,000	2
Yes	Professional photography + listing launch	Startup / Marketing	Lump Sum	1	\$5,000	\$5,000	2
Yes	Local tourism QR guide / partnership program	Startup / Marketing	Lump Sum	1	\$3,000	\$3,000	2
Yes	Contingency	Contingency	Lump Sum	1	\$50,000	\$50,000	1
Yes	LED lighting retrofit / occupancy sensors	Property-Level Add-On CapEx	Lump Sum	1	\$4,000	\$4,000	1
Yes	Smart thermostats / room energy controls	Property-Level Add-On CapEx	Per Unit	22	\$350	\$7,700	1
Yes	WaterSense fixtures / leak detection	Property-Level Add-On CapEx	Per Unit	22	\$750	\$16,500	1
Yes	Local goods setup - branded shelving / display	Property-Level Add-On CapEx	Lump Sum	1	\$2,500	\$2,500	2
Yes	Local goods setup - small fridge / storage	Property-Level Add-On CapEx	Lump Sum	1	\$2,500	\$2,500	2
Yes	Local goods setup - initial inventory	Startup / Marketing	Lump Sum	1	\$3,500	\$3,500	2
Yes	Local goods setup - QR payment / POS	Startup / Marketing	Lump Sum	1	\$1,250	\$1,250	2
Yes	Local goods setup - branding / menus / signage	Startup / Marketing	Lump Sum	1	\$2,000	\$2,000	2
No	Operating cash reserve + treasury program	Operating Reserve / Cash Management	Lump Sum	1	\$150,000	-	0
Yes	EV charging / road-trip stop - 3 chargers	Property-Level Add-On CapEx	Per Unit	3	\$10,000	\$30,000	2

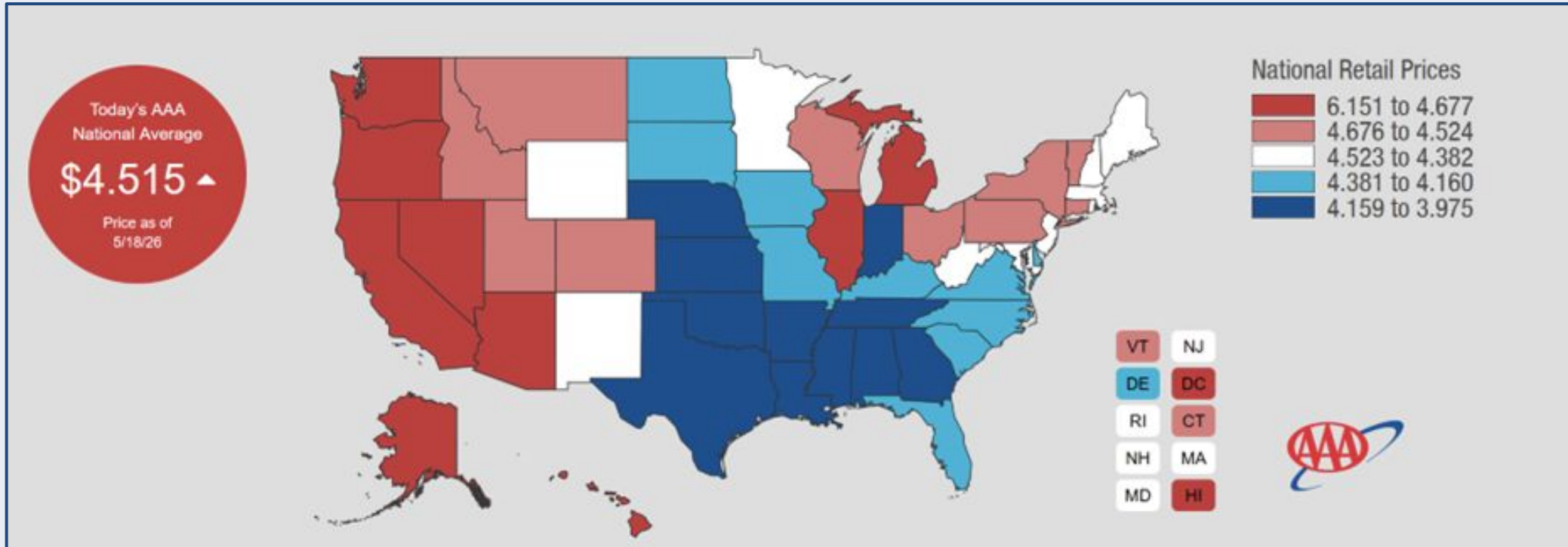
EV CAPEX ELABORATION

Large EV Market

California has the largest EV market in the U.S.; CEC/DMV data tracks ZEV sales and registered ZEVs statewide, and California continues to report roughly one-fifth to one-quarter of new vehicle sales as ZEVs in recent periods. (California Energy Commission)

Infrastructure Grant

Santa Barbara County received a \$4.7M EV infrastructure grant in 2024, and county EV infrastructure projects have delivered 250+ charging ports, with more planned. (News Channel 3-12)



PRO FORMA

5-Year Pro Forma

Phased STR/motel conversion model. Yellow/blue ramp row is editable.

Line Item	Definition / Notes	Pre-Acq / TTM	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Year	Hold period year	-1	0	1	2	3	4	5
STR Conversion %	Share converted to stabilized STR/motel operation; room-count based ramp assumes 2 / 4 / 8 active rooms.	-	-	25.0%	50.0%	100.0%	100.0%	100.0%
Apartment NOI Retained	NOI from unconverted long-term apartment units.	\$79,080	-	\$59,310	\$39,540	-	-	-
Base STR NOI	Stabilized STR NOI scaled by conversion percentage.	-	-	\$252,945	\$505,890	\$1,011,780	\$1,011,780	\$1,011,780
Transient Occupancy Tax (Pass-Through)	Excluded from NOI because tax is charged to guests and remitted as a pass-through; no economic impact unless ADR is tax-inclusive.	-	-	-	-	-	-	-
Value Driver NOI Impact	Annual NOI impacts from Value Drivers sheet.	-	-	(\$20,154)	(\$30,904)	(\$17,884)	(\$17,884)	(\$17,884)
Total NOI	NOI before CapEx, acquisition costs, sale, and guest-pass-through taxes.	\$79,080	-	\$292,101	\$514,526	\$993,896	\$993,896	\$993,896
Purchase Price	Cash paid to seller in Year 0, including adjacent 590 purchase when toggle is Yes.	-	(\$4,635,000)	-	-	-	-	-
Closing Costs	Acquisition closing costs in Year 0.	-	(\$39,000)	-	-	-	-	-
Improvement Costs	CapEx/startup costs by timing year.	-	-	(\$1,031,950)	(\$607,750)	-	-	-
Gross Exit Value	Sale value in final year.	-	-	-	-	-	-	\$18,070,836
Selling Costs	Disposition costs in final year.	-	-	-	-	-	-	(\$361,417)
Net Cash Flow	Annual cash flow to investor.	\$79,080	(\$4,674,000)	(\$739,849)	(\$93,224)	\$993,896	\$993,896	\$18,703,316
Cumulative Cash Flow	Running cash flow.	-	(\$4,674,000)	(\$5,413,849)	(\$5,507,073)	(\$4,513,177)	(\$3,519,281)	\$15,184,035

- **Phased Conversion Timeline:** (25% in Year 1, 50% in Year 2, and reaching 100% stabilization by Year 3).
- **Capital Improvement Strategy:** Heavy upfront CapEx phase with \$1.03M in Year 1 and \$607k in Year 2 to fund the motel/STR repositioning, driving Base STR NOI to an estimated \$1.01M at full stabilization.
- **Cash Flow Profile:** Net cash flow remains negative through Year 2 due to heavy renovation costs and partial occupancy, turning highly profitable in Year 3 with a stabilized annual Net Cash Flow of \$993k.
- **Terminal Valuation & Exit:** The model projects a gross asset exit value of \$18.07M in Year 5, yielding a cumulative net cash flow of \$15.18M to investors over the 5-year hold period.

Inputs & Assumptions

Editable assumptions are blue/yellow. Formula cells update the workbook automatically.

Section	Metric	Value / Input	Units
Deal / Property	Purchase Price	\$1,950,000	\$
Deal / Property	Units	8	units
Deal / Property	Price / Unit	\$243,750	\$/unit
Deal / Property	Closing Cost %	2.0%	%
Deal / Property	Closing Costs	\$39,000	\$
Deal / Property	Hold Period	5	years
Deal / Property	Selling Cost %	2.0%	%
Valuation	Apartment Valuation Cap Rate	5.5%	%
Valuation	STR Exit Cap Rate	5.5%	%
Lease / Transition	Lease Type	MTM	text
Apartment Current	Current Monthly Rent	\$11,400	\$/mo
Apartment Current	Current Annual Rent	\$136,800	\$/yr
Apartment Current	Current Vacancy / Collection Loss	2.0%	%
Apartment Current	Current EGI	\$134,052	\$/yr
Apartment Current	Current Expenses	\$55,572	\$/yr
Apartment Current	Current NOI - Formula	\$78,480	\$/yr
Apartment Current	Current NOI - Reported / Used	\$79,080	\$/yr
Apartment Current	Going-In Cap Rate at Ask	4.1%	%
Apartment Market	Market Monthly Rent	\$14,000	\$/mo
Apartment Market	Market Annual Rent	\$168,000	\$/yr
Apartment Market	Market Vacancy / Collection Loss %	2.0%	%
Apartment Market	Market EGI	\$164,640	\$/yr
Apartment Market	Market Expenses	\$56,934	\$/yr
Apartment Market	Market Apartment NOI	\$107,706	\$/yr
Apartment Market	Market Apartment Cap Rate at Ask	5.5%	%
STR / Motel	STR Gross Revenue Mode	ADR/Occupancy Formula	choice
STR / Motel	One-Pager Stabilized Gross	\$208,000	\$/yr
STR / Motel	ADR	\$250	\$/night
STR / Motel	Occupancy	72.0%	%
STR / Motel	Active STR Units	22	units
STR / Motel	ADR/Occupancy Gross	\$1,445,400	\$/yr
STR / Motel	Selected STR Gross Revenue	\$1,445,400	\$/yr
STR / Motel	STR Expense Ratio	30.0%	%
STR / Motel	Base STR NOI from Gross	\$1,011,780	\$/yr
STR / Motel	One-Pager Stabilized STR NOI	\$145,600	\$/yr
STR / Motel	Use Stated STR NOI?	No	choice
STR / Motel	STR NOI Used	\$1,011,780	\$/yr
STR / Motel	Transient Occupancy Tax Rate	14.0%	%
STR / Motel	Stabilized Transient Occupancy Tax	\$202,356	\$/yr
STR / Motel	STR Yield on Purchase Price - Pro Forma NOI	21.4%	%
STR / Motel	Implied STR Value - Pro Forma NOI	\$18,070,836	\$
Project Cost	Total CapEx / Startup Costs	\$1,639,700	\$
Project Cost	Total Project Cost	\$6,313,700	\$
Project Cost	Total Negative Cash Flows	\$5,507,073	\$
Property Tax	Buelltton Property Tax Rate	1.0900%	%
Property Tax	Estimated Annual Property Tax	\$20,154	\$/yr

Pro Forma Inputs Tab

590 Expansion With CapEx

Taking advantage of extra revenue and space

- Courtyard/Event Lawn to build community and sharpen familial feel
- Cafe extension
- Wine and Beer Garden



CapEx Tab on Pro Forma

Yes	590 expansion - central courtyard / event lawn	Property-Level Add-On CapEx	Lump Sum	1	\$400,000	\$400,000
Yes	590 expansion - wine + beer garden	Property-Level Add-On CapEx	Lump Sum	1	\$300,000	\$300,000
Yes	590 expansion - grab-and-go café / farm stand	Property-Level Add-On CapEx	Lump Sum	1	\$250,000	\$250,000

Include Adjacent 590 Expansion?	Yes	choice	Model assumption
Base Active STR Units	8	units	Model assumption
Active STR Units with 590	22	units	Model assumption
Incremental 590 Units	14	units	Formula

Exit Strategy + Return Summary

Returns & Exit Analysis

Summarizes total equity, exit value, IRR, equity multiple, CoC, and sensitivities.

Metric	Value	Formula / Definition	Source / Link
Total Project Cost Before Cash Flow	\$6,313,700	Purchase + closing + included CapEx/startup costs	Inputs / CapEx Budget
Total Negative Cash Flows / Equity Required	\$5,507,073	ABS(sum of all negative cash flows)	Pro Forma
Exit NOI	\$993,896	Final-year NOI used to value the property	Pro Forma
Gross Exit Value	\$18,070,836	Exit NOI ÷ Exit Cap Rate	Pro Forma
Net Exit Proceeds	\$17,709,420	Gross Exit Value - Selling Costs	Pro Forma
Stabilized CoC Yield	18.0%	Year 3 Total NOI ÷ Total Negative Cash Flows	Pro Forma
Unlevered IRR	32.7%	IRR of unlevered cash flows	Pro Forma
Equity Multiple	3.8x	Total positive cash flows ÷ total negative cash flows	Pro Forma
Value Creation vs Purchase Price	\$13,435,836	Gross Exit Value - purchase price including adjacent 590 if toggled on	Formula
Value Creation After Total Project Cost	\$11,757,136	Gross Exit Value - Total Project Cost Before Cash Flow	Formula

After buying the properties, funding CapEx, and converting operations, the goal is to sell The Farmhouse as a stabilized boutique lodging asset, not as a low-yield apartment property. When we sell, it will capture higher values and hopefully appeal to the other santa Barbara property market. Value is driven by lodging NOI rather than low-yield apartment income.

Cash Flow Timeline	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Notes
Net Cash Flow	(\$4,674,000)	(\$739,849)	(\$93,224)	\$993,896	\$993,896	\$18,703,316	Links from Pro Forma
Cumulative Cash Flow	(\$4,674,000)	(\$5,413,849)	(\$5,507,073)	(\$4,513,177)	(\$3,519,281)	\$15,184,035	Running total
NOI	-	\$292,101	\$514,526	\$993,896	\$993,896	\$993,896	Annual total NOI before CapEx/sale
CapEx / Startup Costs	-	(\$1,031,950)	(\$607,750)	-	-	-	Improvement costs by timing - year

FINAL RECOMMENDATION

**PROCEED WITH ACQUISITION AT \$1.95M
CONDITIONAL ON ETHICAL TENANT RELOCATION
COMPLIANCE DUE DILLIGENCE**

Primary Driver: The "Value Bridge"
from apartment income to
STR/Motel operations creates a clear
path to a 30%+IRR

Policy Alignment: Alignment with
Buellton Ordinance 26-03 secures
municipal support and catalyzed
corridor growth.